News Release
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S&P Global Flash Germany PMI®

German business activity growth softens in October

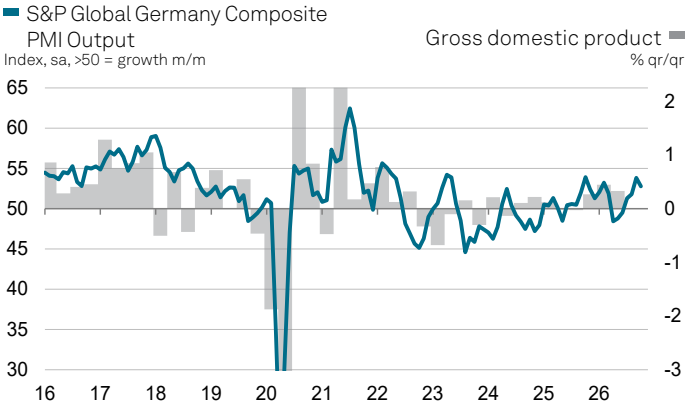
October 2026

Flash Germany PMI Composite Output Index: 52.8 (Sep: 53.8). 2-month low.

Flash Germany Services PMI Business Activity Index: 51.7 (Sep: 52.9). 2-month low.

Flash Germany Manufacturing Output Index: 55.1 (Sep: 56.0). 3-month low.

Flash Germany Manufacturing PMI: 54.2 (Sep: 53.9). 2-month high.



Data were collected 12-21 October 2026.
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October saw sustained, albeit slower, growth in business activity across the German private sector, the latest PMI® survey data showed. Likewise, new business continued to expand, but did so at the weakest rate for three months. Stronger growth expectations among services firms were meanwhile offset by a notable reduction in confidence in the manufacturing sector, where input cost inflation surged to its highest since May. Amid reports of competitive pressures and discounted fuel prices, however, the overall rate of increase in prices charged for goods and services ticked down to a seven-month low.

The S&P Global Flash Germany Composite PMI Output Index registered 52.8 in October, signalling growth in business activity for a fourth straight month. The latest reading was down from an 11-month high of 53.8 in September, but it nevertheless continued to signal a solid pace of expansion by historical standards. The slowdown in growth was broad-based by sector. Manufacturing production continued to rise at a robust pace, albeit one that was the weakest since July (output index at 55.1). Services activity meanwhile increased for the second month running but only modestly (index at 51.7).

Total inflows of new business rose only slightly across the German private sector in October. Demand in fact stalled in the services economy, where surveyed firms reported delayed decision-making among customers and a squeeze on client budgets. Although easing to a three-month low, growth in manufacturing order books remained relatively solid, supported by a sustained upturn in export sales.

October's flash data meanwhile showed no change in the level of outstanding business across the private sector, following the first back-to-back increases in more than four

Comment

Phil Smith, Economics Associate Director at S&P Global Market Intelligence:

"October's flash PMI results encouragingly showed a sustained upturn in business activity across Germany, although a slowdown in growth underscored that the recovery in the eurozone's largest economy remains fragile. Inflows of new work rose only modestly and at the slowest rate for three months at the start of the fourth quarter, with a stalling of new business growth in the service sector highlighting the ongoing headwinds to demand from elevated inflation and uncertainty.

"Labour market conditions continue to show a very gradual improvement, reflecting a steady but modest pace of job creation among services providers alongside an increasingly stable picture in the manufacturing sector.

"Whilst goods producers continued to see business conditions improve, aided by sustained growth in export sales and the filtering through of increased defence and infrastructure spending, a renewed surge in cost pressures has dampened expectations across the sector, with the two likely to remain intrinsically linked in the months ahead."

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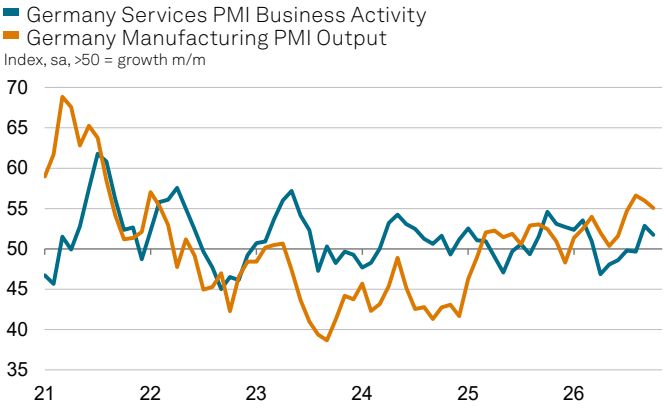
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years in August and September. The result masked diverging trends across the two monitored sectors, with a renewed decrease in work-in-hand among services firms contrasting with another robust increase in manufacturing backlogs.

Despite service providers reporting a reduction in capacity pressures at the start of the fourth quarter, they took on additional staff for the third successive month. The pace of job creation at services firms was unchanged from that seen in September and only marginal, however. Workforce numbers in the manufacturing sector meanwhile came close to stabilising, recording only a marginal fall that was the weakest for over three years.

Turning to prices, October's flash results signalled a mixed picture. Input cost inflation in the manufacturing sector accelerated for the second month in a row to its highest since May, amid reports from goods producers of the influence of increased oil prices and the rising cost of raw materials and components (particularly electronic parts). Service providers, on the other hand, reported a slowdown in the rate of input cost inflation, linked in part to fuel discounts. German businesses were generally less aggressive with their own price increases in October, often citing competitive pressures. The overall rate of inflation in prices charged for goods and services was at a seven-month low, although it was still comfortably higher than its long-run average.

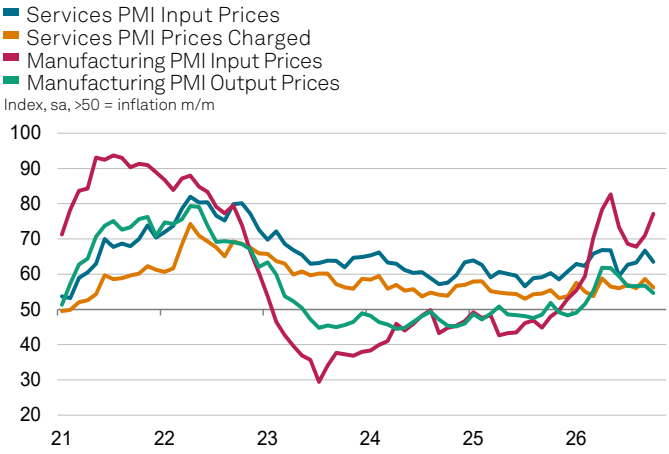
Looking ahead, German firms remained optimistic about the prospect of output levels rising over the next 12 months. However, whereas service sector confidence improved to the highest since February, expectations among manufacturers fell noticeably and to the lowest since July. This partly reflected increased concerns about rising input prices, according to anecdotal evidence.



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Methodology

Final October data are published on 2 November for manufacturing and 4 November for services and composite indicators.

The S&P Global Flash Germany Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of around 400 manufacturers and 400 service providers. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Composite indices for are calculated by weighting together comparable manufacturing and services indices using official manufacturing and services annual value added.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.0 (absolute difference 0.4)

Services Business Activity Index = -0.1 (absolute difference 0.6)

Manufacturing PMI = 0.0 (absolute difference 0.3)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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PMI by S&P Global

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